

ROYALTY CARROT

THE GOVERNMENT RECENTLY CUT ROYALTY RATES FOR THE UP-STREAM SECTOR. UNDER THE REVISED FRAMEWORK, THE EFFECTIVE ROYALTY RATES ARE AS FOLLOWS



Onshore Crude Production:
From 16.66% to 10% on May 8 and reversed on June 4



Offshore Royalty:
From 9.09% to 8%



Natural Gas:
From 10% to 8%

THE FOREIGN PLAY

FOREIGN OIL AND GAS EXPLORATION PLAYERS SUCH AS TOTAL ENERGIES, SHELL, EXXONMOBIL, BP AND PETROBRAS HAVE STAYED AWAY FROM GREENFIELD OIL AND GAS EXPLORATION IN INDIA. THE IMPORT DEPENDENCE HAS MADE THE GOVERNMENT GO FOR MORE REFORMS. THE NEW POLICY STATES:

Will not nationalise or otherwise take away the rights of the companies

Will pay an adequate amount as compensation, which will be equal to fair market value of the rights

Allow consortiums with a foreign member, regardless of their stake, to choose a foreign seat for arbitration

COAL GASIFICATION

THE UNION CABINET HAS APPROVED COAL GASIFICATION PROJECTS WITH A FINANCIAL OUTLAY OF ₹37,500 CRORE WITH A TARGET OF GASIFYING 100 MILLION TONNES (MT) OF COAL BY 2030, STRENGTHENING ENERGY SECURITY AND REDUCING DEPENDENCE ON IMPORTS OF KEY PRODUCTS SUCH AS LNG (51%), UREA (20%), AMMONIA (100%), AND METHANOL (80–90%)



Gasification of approximately 100 MT of coal/lignite



Expected investment mobilisation: ₹2.5-3.0 lakh crore



Financial incentive: Maximum of 20% of the cost of plant and machinery